

## Investment Analysis: DBS Group Holdings (SGX: D05)

**Recommendation:** **BUY** (Medium-High Conviction)

**Investment Horizon:** 12–24 months

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### 1. Bull and Bear Case: Investment Thesis

#### Bull Case

DBS is Singapore's largest bank with a dominant regional franchise, strong capital position, and consistent profitability. The bank generates robust free cash flow through its lending, wealth management, and fee-based businesses. Continued economic growth in Southeast Asia, digital banking leadership, and disciplined capital allocation support sustainable earnings and attractive shareholder returns.

Key positives:

- Strong return on equity (ROE) relative to global peers.
- Healthy dividend yield supported by stable earnings.
- Well-capitalized balance sheet provides resilience during economic downturns.
- Long-term structural growth from ASEAN wealth management and commercial banking.
- Diversified income streams from lending, wealth management, treasury, and transaction banking reduce reliance on any single business segment.

#### Bear Case

Several factors could pressure DBS's earnings:

- Falling interest rates may compress net interest margins.
  - Economic slowdown or recession could increase loan defaults.
  - Property market weakness may reduce loan growth.
  - Regulatory changes or geopolitical risks could affect regional operations.
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### 2. Key Findings and Recommendation

**Recommendation:** **BUY**

**Findings:**

#### Strengths

- Market-leading position with long-term structural growth in Singapore and ASEAN.
- Strong balance sheet with consistent revenue and earnings growth with sustainable profitability Y-O-Y
- Healthy capital ratios provide downside protection and capital adequacy to ride through economic shocks
- Financial ratios are within acceptable ranges
- Attractive and consistent dividend payouts along with capital appreciation potential
- Strong corporate governance culture with high-standing quality scores

#### Risks

- Interest-rate normalization reducing bank margins.
  - Regional economic slowdown.
  - Unexpected deterioration in credit quality.
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### 3. Technical Analysis / Indicators Used

#### Trend Analysis

- **50-day Moving Average (MA50)**
- **200-day Moving Average (MA200)**
- MA50 above MA200 indicates a long-term bullish trend.

### Relative Strength Index (RSI)

- Indicator used to identify overbought or oversold conditions.
  - Preferred buying range: RSI between **40–60** during an uptrend.
- Avoid initiating large positions if RSI exceeds **70**, may indicate overbought condition

### MACD (Moving Average Convergence Divergence)

- Positive MACD crossover signals improving momentum.
- Rising histogram supports continued bullish momentum.

### Support and Resistance

- Buy near major support levels rather than chasing breakouts.
- Consider trimming positions nearing historical resistance if valuation becomes stretched.

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## 4. Supporting Evidence

### A. Fundamental Evidence - Macroeconomic and Industry Perspective

| Factor                            | Assessment                            | Impact on DBS                                                                           |
|-----------------------------------|---------------------------------------|-----------------------------------------------------------------------------------------|
| Singapore & ASEAN Economic Growth | Positive long-term GDP growth outlook | Supports higher loan demand and business expansion                                      |
| Interest Rate Environment         | Moderate easing expected              | Slight pressure on net interest margins, partially offset by loan growth and fee income |
| Banking Industry Outlook          | Stable and well-regulated             | Strong regulatory framework reduces systemic risk and enhances financial stability      |
| Government & Monetary Policy      | Prudent fiscal and monetary policies  | Supports economic resilience and banking sector confidence                              |

### A. Fundamental Evidence - Company-Specific Perspective

| Factor                                  | Assessment      | Supporting evidence                                                                                                                                            |
|-----------------------------------------|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Market Position                         | Industry leader | Largest bank in Singapore with strong regional presence                                                                                                        |
| Revenue Growth and Profitability Margin | Strong          | High and consistently above-peer Return on Equity (ROE) ~16%<br>Stable and sustainable Y-O-Y growth ~3% on revenue & earnings                                  |
| Capital Adequacy                        | Strong          | CET1 capital ratio comfortably exceeds regulatory requirements, substantial capital buffer against economic shocks<br>Cash is extremely plentiful at S\$70 bil |
| Financial Ratios                        | Acceptable      | PE ratio of around 18 ~ 19 and PB ratio of around 3, slightly on high side                                                                                     |
| Dividend Policy                         | Attractive      | Consistent dividend payouts supported by strong earnings and cash generation                                                                                   |

### B. Technical Evidence

- Share price is trading above both the **50-day Moving Average (MA50)** and **200-day Moving Average (MA200)**, indicating a sustained long-term bullish uptrend (Golden Cross)
  - MACD** remains positive with a bullish crossover, suggesting strengthening price momentum.
  - Relative Strength Index (RSI)** is within the neutral-to-bullish range (**40–60**), indicating room for further upside without being overbought.
  - Formation of **higher highs and higher lows** confirms an intact bullish trend.
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## 5. Position Sizing and Risk Management

### Position Size

Allocate approximately **5–8%** of an equity portfolio to DBS.

For diversified portfolios:

- Maximum exposure to any single stock: **10%**
- Banking sector exposure: **20–25%** maximum.

### Risk Management

- Stop-loss:
    - Approximately **10–12%** below entry price.
  - Review thesis if:
    - Credit quality deteriorates materially.
    - Earnings miss expectations over multiple quarters.
    - Technical trend breaks below the 200-day moving average.
  - Rebalance periodically to maintain target allocation.
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## 6. Overall Conviction Level

**Conviction: 8/10 (Medium-High)**

### Rationale:

For DBS Group Holdings (SGX: D05), the **50-day moving average** is currently approximately **S\$65.57**, while the **200-day moving average** sits at approximately **S\$58.58**. Given the current DBS share price of around **S\$73.50**, the stock is trading above both key moving averages, indicating a strong bullish trend.

Over a rolling 10-year period, DBS Group (SGX: D05) has delivered a Compound Annual Growth Rate (**CAGR**) of approximately **14.8%**. This annualized total return accounts for both share price appreciation and the reinvestment of dividends. Benchmarking against the world's most widely traded and actively followed index, the **S&P 500** saw an approximate **~18% overall gain**, while **DBS** in comparison saw an astonishing **~50% gain** over the past 1 year.

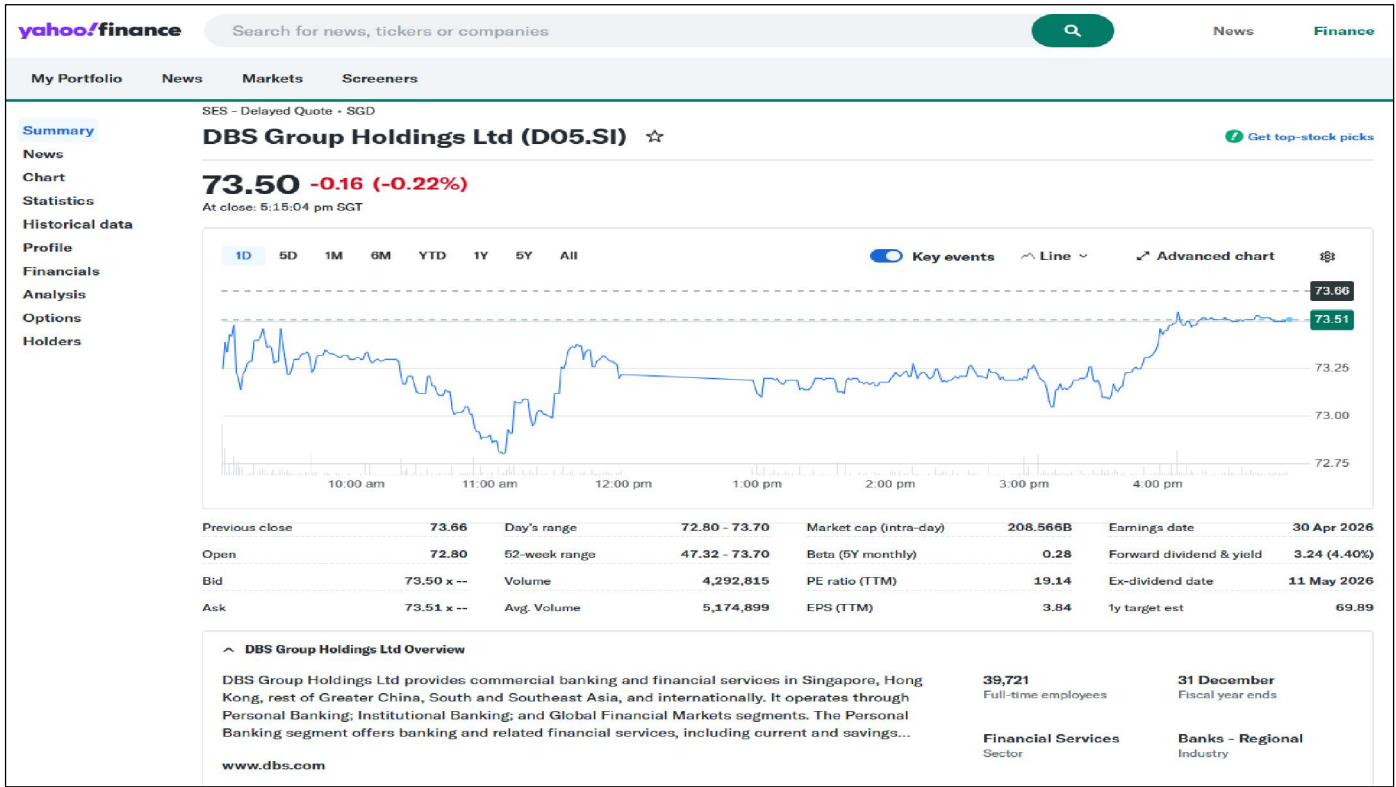
✓ **Golden Cross Realized:** 50-day MA hovers above the 200-day MA indicates a "Golden Cross" scenario. This positioning formally signals a long-term upward trend rather than a downward phase.

✓ **Strong Price Premium:** The actual market price of DBS is comfortably trading roughly 24% higher than its 200-day baseline, validating strong institutional buying sentiment over the past year.

### Conclusion

DBS represents a high-quality blue-chip investment on the SGX. The combination of strong fundamentals, healthy dividend payments, solid capital strength, and a favorable long-term technical trend supports **BUY** recommendation for investors with a medium- to long-term investment horizon. While macroeconomic and interest-rate risks remain, the bank's financial resilience and diversified business model provide confidence that it can continue delivering sustainable shareholder returns.

7. Supporting financials and highlights



Stock price history

|                                     |        |
|-------------------------------------|--------|
| Beta (5Y monthly)                   | 0.28   |
| 52-week change <sup>3</sup>         | 49.69% |
| S&P 500 52-week change <sup>3</sup> | 17.85% |
| 52-week high <sup>3</sup>           | 73.70  |
| 52-week low <sup>3</sup>            | 47.32  |
| 50-day moving average <sup>3</sup>  | 65.57  |
| 200-day moving average <sup>3</sup> | 58.58  |

Dividends & splits

|                                             |        |
|---------------------------------------------|--------|
| Forward annual dividend rate <sup>4</sup>   | 3.24   |
| Forward annual dividend yield <sup>4</sup>  | 4.40%  |
| Trailing annual dividend rate <sup>3</sup>  | 2.52   |
| Trailing annual dividend yield <sup>3</sup> | 3.42%  |
| 5-year average dividend yield <sup>4</sup>  | 4.59   |
| Payout ratio <sup>4</sup>                   | 79.80% |

## Income statement

|                                 |               |
|---------------------------------|---------------|
| Revenue (ttm)                   | <b>22.29B</b> |
| Revenue per share (ttm)         | <b>7.85</b>   |
| Quarterly revenue growth (yoy)  | <b>3.20%</b>  |
| Gross profit (ttm)              | <b>22.29B</b> |
| EBITDA                          | --            |
| Net income avi to common (ttm)  | <b>10.93B</b> |
| Diluted EPS (ttm)               | <b>3.84</b>   |
| Quarterly earnings growth (yoy) | <b>1.10%</b>  |

## Balance sheet

|                            |                |
|----------------------------|----------------|
| Total cash (mrq)           | <b>70B</b>     |
| Total cash per share (mrq) | <b>24.67</b>   |
| Total debt (mrq)           | <b>183.16B</b> |
| Total debt/equity (mrq)    | --             |
| Current ratio (mrq)        | --             |
| Book value per share (mrq) | <b>24.27</b>   |

## Valuation measures

|                           |                |
|---------------------------|----------------|
|                           | <b>Current</b> |
| Market cap                | <b>209.02B</b> |
| Trailing P/E              | <b>19.21</b>   |
| Forward P/E               | <b>18.25</b>   |
| PEG ratio (5-yr expected) | <b>3.48</b>    |
| Price/sales               | <b>9.11</b>    |
| Price/book                | <b>3.02</b>    |
| Enterprise value/revenue  | <b>9.11</b>    |

## Corporate governance

DBS Group Holdings Ltd's ISS governance quality score as of 1 July 2026 is 5. The pillar scores are audited: 1; board: 1; shareholder rights: 5; compensation: 9.

Corporate governance scores courtesy of [Institutional Shareholder Services \(ISS\)](#) Scores indicate decile rank relative to index or region. A decile score of 1 indicates lower governance risk, while 10 indicates higher governance risk.

Source: Yahoo Finance as at close of day 23/07/2026